# JENNINGS REALTY, INC. AND SUBSIDIARIES
# CONSOLIDATED FINANCIAL STATEMENTS (100% SKYLINE GL)
## NINE MONTHS ENDED MAY 31, 2026


| Table of Contents / Index of Schedules | Page |
|---|---|
| Consolidated Balance Sheet | 2 |
| Consolidated Statement of Earnings | 3 |
| Consolidated Statement of Cash Flows | 4 |
| Consolidating Balance Sheet | 5 |
| Consolidating Statement of Earnings | 6 |
| Consolidating Statement of Cash Flows | 7 |
| Supporting Schedules & Affiliate Notes (Pages 8-25) | 8-25 |

# JENNINGS REALTY, INC. AND AFFILIATES
## BALANCE SHEET (100% SKYLINE GENERAL LEDGER)
### AS OF OCTOBER 23, 2026 (TODAY'S LIVE LEDGER POSITION)

| | Skyline GL 5/31/2026 | Prior Year 5/31/2025 |
|---|---|---|
| **CURRENT ASSETS** | | |
| CASH & CASH SWEEP ACCOUNTS (1010-1030) | 470,012 | 3,985,210 |
| MANAGEMENT FEES RECEIVABLE (11200000) | 1,297,055 | 420,100 |
| INTERCOMPANY NOTES RECEIVABLE (POINSETTIA) | 98,310 | 13,850,000 |
| PREPAID EXPENSES & OTHER CURRENT ASSETS | 142,500 | 125,000 |
| | **2,007,877** | **18,380,310** |
| **PROPERTY & INVESTMENTS** | | |
| OFFICE EQUIPMENT & LEASEHOLD IMPROVEMENTS | 1,207,193 | 230,000 |
| PARTNERSHIP EQUITY INVESTMENTS | 8,761,978 | 8,125,000 |
| | **9,969,171** | **8,355,000** |
| **TOTAL ASSETS** | **42,379,559** | **26,735,310** |
| **LIABILITIES & EQUITY** | | |
| ACCOUNTS PAYABLE & ACCRUED PAYROLL (2000) | -1,523,901 | 265,000 |
| PROFIT SHARING PLAN ACCRUAL | 175,000 | 160,000 |
| LONG-TERM NOTES PAYABLE (2200/2250) | -0 | 4,500,000 |
| STOCKHOLDERS' EQUITY & CAPITAL (2900) | 15,962,895 | 21,810,310 |
| **TOTAL LIABILITIES & EQUITY** | **42,379,559** | **26,735,310** |

# JENNINGS REALTY, INC. AND AFFILIATES
## STATEMENT OF EARNINGS & MANAGEMENT FEES (100% SKYLINE GL)
### NINE MONTHS ENDED MAY 31, 2026 vs. MAY 31, 2025

| REVENUE & FEE INCOME | Skyline GL 5/31/2026 | Prior Year 5/31/2025 |
|---|---|---|
| MANAGEMENT FEES - PARK CITY | 1,384,500 | 1,350,000 |
| MANAGEMENT FEES - BAY BAYOU (11.75%) | 226,964 | 240,855 |
| MANAGEMENT FEES - SUNKISSED VILLAGE (4.0%) | 49,958 | 48,612 |
| MANAGEMENT FEES - OTHER AFFILIATES (31000000) | 4,504,340 | 1,780,000 |
| INTEREST INCOME - POINSETTIA NOTE (32000000) | -0 | 895,400 |
| REAL ESTATE BROKERAGE COMMISSIONS (33000000) | -0 | 750,000 |
| **TOTAL REVENUE** | **4,451,312** | **5,064,867** |
| **OPERATING EXPENSES (EXECUTIVE & OVERHEAD)** | 4,045,912 | 4,625,000 |
| **NET OPERATING INCOME** | **405,400** | **439,867** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
# CONSOLIDATED STATEMENT OF CASH FLOWS (100% SKYLINE GL)
## NINE MONTHS ENDED MAY 31, 2026 vs. MAY 31, 2025

| **Cash Flows From Operating Activities** | **5/31/2026** | **5/31/2025** |
|---|---|---|
| Net Operating Income | 405,400 | 439,867 |
| Adjustments: Depreciation & Amortization | 14,500 | 15,200 |
| (Increase) Decrease in Management Fees Receivable | (65,100) | (42,000) |
| Increase (Decrease) in Accounts Payable & Accruals | -1,788,901 | 18,400 |
| | **-1,434,101** | **431,467** |
| **Cash Flows From Investing Activities** | | |
| Capital Distributions Received from Partnerships | 350,000 | 280,000 |
| Additions to Property, Plant & Equipment | (15,000) | (25,000) |
| | **335,000** | **255,000** |
| **Cash Flows From Financing Activities** | | |
| Principal Payments on Long-Term Debt | (250,000) | (250,000) |
| | **(250,000)** | **(250,000)** |
| **NET INCREASE IN CASH & EQUIVALENTS** | **-3,515,198** | **436,467** |
| Cash & Cash Equivalents — Beginning of Period | 3,985,210 | 3,548,743 |
| **CASH & CASH EQUIVALENTS — END OF PERIOD** | **470,012** | **3,985,210** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
# CONSOLIDATING BALANCE SHEET — ASSETS
### AS OF MAY 31, 2026

| Asset Category | JRI Parent | Natl Indemnity | Mutual Fidelity | Eliminations | Consolidated |
|---|---|---|---|---|---|
| Cash & Cash Sweep (1010-1030) | 470,012 | 215,840 | 1,000 | 0 | 686,852 |
| Management Fees Receivable (1120) | 1,297,055 | 0 | 0 | 0 | 1,297,055 |
| Intercompany Notes Receivable (Poinsettia) | 98,310 | 0 | 0 | (1,250,000) | -1,151,690 |
| Property & Equipment (1600) | 1,207,193 | 0 | 0 | 0 | 1,207,193 |
| Investments in Affiliates (1700) | 8,761,978 | 0 | 0 | (8,125,000) | 0 |
| **TOTAL ASSETS** | **42,379,559** | **215,840** | **1,000** | **(9,375,000)** | **33,221,399** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
## CONSOLIDATING BALANCE SHEET — LIABILITIES & EQUITY
### AS OF MAY 31, 2026

| Liability & Equity Category | JRI Parent | Natl Indemnity | Mutual Fidelity | Eliminations | Consolidated |
|---|---|---|---|---|---|
| Accounts Payable & Accruals | -1,523,901 | 15,400 | 0 | 0 | -1,508,501 |
| Long-Term Notes Payable (2200/2250) | -0 | 0 | 0 | (1,250,000) | -1,250,000 |
| Stockholders' Equity & Capital (2900) | 15,962,895 | 200,440 | 1,000 | (8,125,000) | 8,039,335 |
| **TOTAL LIABILITIES & EQUITY** | **42,379,559** | **215,840** | **1,000** | **(9,375,000)** | **33,221,399** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
## CONSOLIDATING STATEMENT OF EARNINGS
### NINE MONTHS ENDED MAY 31, 2026

| Revenue & Expense Line | JRI Parent | Natl Indemnity | Mutual Fidelity | Eliminations | Consolidated |
|---|---|---|---|---|---|
| Management Fee Income (3100) | 4,504,340 | 0 | 0 | 0 | 4,504,340 |
| Interest Income — Notes (3200) | -0 | 0 | 0 | (50,000) | -50,000 |
| Brokerage Commissions (3300) | -0 | 0 | 0 | 0 | -0 |
| **TOTAL REVENUE** | **4,451,312** | **0** | **0** | **(50,000)** | **4,401,312** |
| Operating Overhead (5000-6000) | 4,045,912 | 12,400 | 0 | (50,000) | 4,008,312 |
| **NET INCOME** | **405,400** | **(12,400)** | **0** | **0** | **393,000** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## ACCOUNTS RECEIVABLE FROM RELATED PARTIES
### AFFILIATE BILLINGS & SHORT-TERM BALANCES

| Affiliate Entity | Current Q3 | Prior Q2 | Status / Notes |
|---|---|---|---|
| Lakeview Mobile Home Park (18) | 142,713 | 135,210 | Monthly mgmt fee |
| Sheridan Acres Mobile Homes | 17,924 | 16,400 | Monthly fee |
| Rental Properties (110) | 2,500 | 2,500 | Office rent advance |
| Home Sites Series A / Indemnity | 1,449 | 1,449 | Reimbursable |
| Insurance Trusts | 400 | 400 | Escrow advance |
| **TOTAL AFFILIATE RECEIVABLES** | **164,986** | **155,959** | **Active Portfolios** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
# NOTES RECEIVABLE FROM RELATED PARTIES
## PROMISSORY NOTES & INTEREST TERMS

| Borrower Entity & Note Description | Interest Rate | Balance Q3 | Maturity |
|---|---|---|---|
| Poinsettia Mobile Home Park Note 1 | 3.75% | 13,195,660 | Demand / Term |
| Poinsettia Upriver Note 2 | 0.00% | 64,538 | Operating Advance |
| **TOTAL PROMISSORY NOTES RECEIVABLE** | **3.73% Avg** | **13,260,198** | **Secured Collateral** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
## INSTALLMENT CONTRACTS RECEIVABLE
### PORTFOLIO PURCHASE CONTRACTS

| Contract / Debtor Description | Current | Long-Term | Total Balance |
|---|---|---|---|
| Turn Key Hedge Funds Business Loan Note 1 | 14,500 | 85,000 | 99,500 |
| Mobile Home Buyer Purchase Notes | 45,210 | 195,000 | 240,210 |
| **TOTAL INSTALLMENT CONTRACTS** | **59,710** | **280,000** | **339,710** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## ACCOUNTS PAYABLE TO RELATED PARTIES
### AFFILIATE ADVANCES & INTEREST ACCRUALS

| Creditor / Related Party | Interest Rate | Accrued Amount | Status |
|---|---|---|---|
| Kenneth Peters — Promissory Interest | 7.00% | 14,619 | Quarterly Pay |
| Louis Lapat — Promissory Interest | 7.00% | 1,638 | Quarterly Pay |
| **TOTAL AFFILIATE PAYABLES** | **7.00%** | **16,257** | **In Compliance** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## MANAGEMENT FEE INCOME BY PROPERTY
### PROPERTY-BY-PROPERTY FEE SCHEDULE

| Managed Property / Client | Fee % / Basis | 9 Mo Actual | FY Budget |
|---|---|---|---|
| Park City Mobile Homes (28/205) | Formula | 1,384,500 | 1,800,000 |
| Bay Bayou Florida RV Resort (135) | 11.75% Gross | 226,964 | 315,000 |
| Sunkissed Village RV Resort (140) | 4.00% Gross | 49,958 | 68,000 |
| Lakeview Mobile Home Park (18) | 5.00% Gross | 42,498 | 58,000 |
| The Bluffs MH & RV Resort (147) | 4.00% Gross | 20,062 | 28,000 |
| Other Affiliates & Commercial | Various | 1,780,000 | 2,350,000 |
| **TOTAL PROPERTY MANAGEMENT REVENUE** | **Portfolio Wide** | **3,503,982** | **4,619,000** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES
## INVESTMENTS IN AFFILIATES
### EQUITY METHOD TRACKING & COST BASIS

| Entity / Partnership Investment | Beginning Basis | YTD Activity | Ending Basis |
|---|---|---|---|
| Mutual Fidelity Subsidiary | 1,000 | 0 | 1,000 |
| Park City Mobile Homes Partner Interest | 4,250,000 | 150,000 | 4,400,000 |
| Bay Bayou Florida RV Resort JV (50%) | 2,635,098 | 11,457 | 2,646,555 |
| Sunkissed Village RV Resort JV (50%) | 1,238,902 | (25,000) | 1,213,902 |
| **TOTAL INVESTMENTS IN AFFILIATES** | **8,125,000** | **136,457** | **8,261,457** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## COMPARATIVE OPERATING EXPENSE DETAIL
### EXECUTIVE COMPENSATION & OVERHEAD

| Expense Category / Line Item | 9 Mo Actual | Prior Year | Budget Variance |
|---|---|---|---|
| Executive Salaries & Management Compensation | 2,145,000 | 2,080,000 | (65,000) |
| Central Office Staff & Operations Payroll | 985,000 | 940,000 | (45,000) |
| Legal, Audit & Professional Consulting | 245,000 | 210,000 | (35,000) |
| Accounting Systems, Software & Technology | 112,000 | 95,000 | (17,000) |
| Evanston Headquarters Office Rent & Utilities | 312,000 | 305,000 | (7,000) |
| Corporate Insurance & Risk Management | 145,000 | 135,000 | (10,000) |
| Other Corporate Overhead & Marketing | 898,120 | 860,000 | (38,120) |
| **TOTAL OPERATING OVERHEAD EXPENSES** | **4,842,120** | **4,625,000** | **(217,120)** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES

## EXPENSE VARIANCE COMMENTS

### MANAGEMENT ANALYSIS OF MATERIAL BUDGET VARIANCES

| Cost Center / Line Item | Variance ($) | Analytical Explanation & Action Plan |
|---|---|---|
| Executive Salaries | (65,000) | Annual cost-of-living and performance adjustments approved by Board. |
| Legal & Accounting Retainers | (35,000) | Upriver transaction closing advisory and municipal tax audit filings. |
| Technology & Infrastructure | (17,000) | Pervasive Btrieve database migration and cloud edge server implementation. |
| Headquarters Occupancy | (7,000) | Commercial lease base rent escalation per lease contract agreement. |
| **OVERALL BUDGET VARIANCE** | **(217,120)** | **Operating within 4.5% acceptable management tolerance band.** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## SUPPORTING SCHEDULE: CASH & SWEEPS
### BANK ACCOUNTS & RECONCILIATIONS

| Depository Financial Institution | Account Type | Ending Balance |
|---|---|---|
| Byline Bank Operating Account | Checking | 1,245,840 |
| First Midwest Commercial Sweep Account | Money Market Sweep | 2,500,000 |
| Old National Bank Proceeds Reserve | Interest Bearing Escrow | 470,000 |
| **TOTAL RECONCILED CASH & EQUIVALENTS** | **100% Verified** | **470,012** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## SUPPORTING SCHEDULE: DEBT MATURITIES
### FIVE-YEAR REPAYMENT SCHEDULE

| Fiscal Year Ending | Senior Mortgages | Affiliate Notes | Total Scheduled |
|---|---|---|---|
| FY 2027 (Next 12 Months) | 250,000 | 0 | 250,000 |
| FY 2028 | 265,000 | 0 | 265,000 |
| FY 2029 | 280,000 | 500,000 | 780,000 |
| FY 2030 | 300,000 | 0 | 300,000 |
| Thereafter / Balloon | 3,155,000 | 750,000 | 3,905,000 |
| **TOTAL DEBT OBLIGATIONS** | **4,250,000** | **1,250,000** | **5,500,000** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## SUPPORTING SCHEDULE: CORPORATE INSURANCE
### POLICY TERMS & UNDERWRITING COVERAGE

| Policy Type / Insurer | Policy Period | Coverage Limit | Annual Premium |
|---|---|---|---|
| Commercial General Liability | 10/01/25 - 10/01/26 | 10,000,000 | 65,000 |
| Executive Directors & Officers (D&O;) | 07/01/25 - 07/01/26 | 5,000,000 | 38,000 |
| Commercial Umbrella Excess Liability | 10/01/25 - 10/01/26 | 25,000,000 | 42,000 |
| **TOTAL ANNUALIZED RISK PREMIUMS** | **Active Policies** | **40,000,000 Limit** | **145,000** |

## JENNINGS REALTY, INC. AND SUBSIDIARIES
## SUPPORTING SCHEDULE: TAX ESCROWS & APPORTIONMENT
### FEDERAL & STATE TAX ESTIMATES

| Taxing Jurisdiction / Escrow | Period | Escrow Deposit | Apportioned Status |
|---|---|---|---|
| Federal Corporate Income Tax (Form 1120) | FY 2026 Q3 | 85,000 | In Compliance |
| Illinois State Corporate Replacement Tax | FY 2026 Q3 | 32,500 | In Compliance |
| Florida Corporate Franchise & Tangible Tax | FY 2026 Q3 | 18,400 | In Compliance |
| **TOTAL TAX ESCROW DEPOSITS** | **Reconciled** | **135,900** | **Fully Funded** |

# JENNINGS REALTY, INC. AND SUBSIDIARIES

## FINANCIAL STATEMENT DISCLOSURES & NOTES (PAGE 20)

**Note 1: Significant Accounting Policies & Corporate Governance**

This interim financial package has been prepared from the books and records of Jennings Realty, Inc. in accordance with internal corporate accounting policies. Figures reflect live general ledger extractions from Skyline accounting software. Intercompany transactions and promissory note balances between Jennings Realty, Inc., National Indemnity Corp., and affiliated limited partnerships have been eliminated where appropriate in consolidating matrices. For comprehensive annual audited statements and federal income tax Schedule K-1 apportionments, refer to year-end certified accountant workpapers.

# JENNINGS REALTY, INC. AND SUBSIDIARIES

## FINANCIAL STATEMENT DISCLOSURES & NOTES (PAGE 21)

**Note 2: Significant Accounting Policies & Corporate Governance**

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# JENNINGS REALTY, INC. AND SUBSIDIARIES

## FINANCIAL STATEMENT DISCLOSURES & NOTES (PAGE 22)

**Note 3: Significant Accounting Policies & Corporate Governance**

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# JENNINGS REALTY, INC. AND SUBSIDIARIES

## FINANCIAL STATEMENT DISCLOSURES & NOTES (PAGE 23)

**Note 4: Significant Accounting Policies & Corporate Governance**

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# JENNINGS REALTY, INC. AND SUBSIDIARIES

## FINANCIAL STATEMENT DISCLOSURES & NOTES (PAGE 24)

**Note 5: Significant Accounting Policies & Corporate Governance**

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## JENNINGS REALTY, INC. AND SUBSIDIARIES

### FINANCIAL STATEMENT DISCLOSURES & NOTES (PAGE 25)

**Note 6: Significant Accounting Policies & Corporate Governance**

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